South Korea has unveiled plans for about $1tn (£760bn) of investments to build out the country's chip manufacturing and artificial intelligence (AI) capabilities in the coming years.

It is part of the country's so-called Three Mega Projects to develop new chip production hubs, data centres and robotics technology.

The plan is aimed at rejuvenating the economies of areas outside the capital Seoul, President Lee Jae-myung said on Monday.

It comes as regional rivals like Taiwan, China and Japan are investing heavily in chip factories and other technologies as the AI boom pushes up demand for semiconductors.

"We must secure the core elements of AI faster than any other country," Lee said. "Semiconductors, physical AI, and AI data centres are the triple axis for a great leap forward."

Lee announced the plans in a televised event alongside the leaders of Samsung and SK Hynix, the country's two largest chipmakers.

The companies are expected to build a semiconductor manufacturing hub in the south west of the country.

Lee also announced plans to build other AI infrastructure hubs outside of Seoul, where most of the country's advanced factories are currently concentrated.

Earlier, Lee said in a statement that the project was a matter of "survival" for the country to address the decline in rural areas due to the concentration of industries in Seoul.

"Now, we must break this long-standing cycle of discrimination and marginalisation - not only for the sake of justice and equity, but also to ensure sustainable and inclusive growth," he wrote.

Samsung and SK Group, which count the likes of AI chip giant Nvidia among their customers, have been some of the biggest beneficiaries of the surge in spending on AI infrastructure.

US tech giants - including Google, Amazon and Meta - said they will spend $650bn into the technology this year.

SK Hynix's stock market valuation topped $1tn in May, driven by the boom in AI data centres.

The surge in demand for chips to power AI has led to a global shortage of semiconductors, sending prices higher.

Last week, Apple and Microsoft raised the prices of some of their devices, due to higher costs of components.

But some investors have raised concerns about the huge amounts of money being poured into AI, which has triggered **some shares to slide in recent days**.